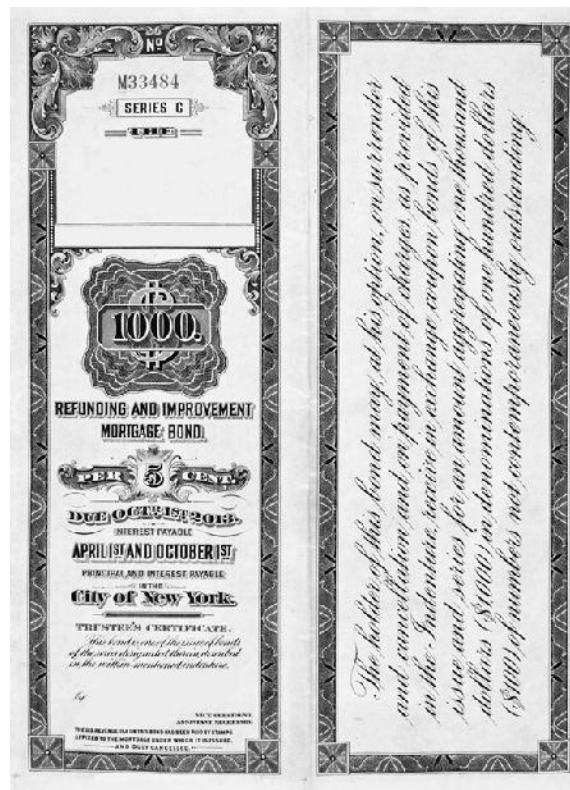


Bonds



US railroad bond, c.1900

Borrowers can get loans from savers through financial intermediaries such as banks. But they can also gain direct access to savers through financial markets such as the bond market. Suppose that Mega Foods Inc. wants to build a new plant. It can raise funds by selling bonds that are, in essence, IOUs. John's purchase of a bond from Mega Foods Inc. is a loan to the company – the bond states a date of maturity at which John's loan will be repaid, along with a rate of interest that will be paid until then. John can hold onto the bond until it matures or sell it on earlier. Governments also issue bonds to finance expenditure.

Bonds vary in how long they take to mature – short-term bonds may mature in a matter of months, while long-term bonds may

run for decades. Some bonds are more risky – those for which there is a higher probability that the firm or government might not make its repayments. Risky borrowers need to offer higher interest rates on their bonds in order to raise finance.